EQUITY RESEARCH — INITIATION OF COVERAGE

Rachit Prints Ltd

BSE SME: 544503 | NSE Emerge | Sector: Textiles | Industry: Other Textile Products

ACCUMULATE

Target: Rs. 260 | Upside: +26%

12-month horizon

Rs. 207	**Rs. 102 Cr**	**Rs. 222 / 83.4**
CMP (15-Jun-26)	Mkt Cap	52W High / Low
22.3x	**2.93x**	**67.68%**
P/E (TTM)	P/BV	Promoter %
20.8%	**19.4%**	**0%**
ROCE	ROE	Div Yield

Investment Thesis: Post-IPO capex doubling fixed assets positions Rachit Prints to scale specialty mattress fabric revenues 25%+ annually through FY28, while margin normalisation from 17% peak presents a measured entry opportunity at 22x TTM earnings — a discount to most SME textile peers.

Report Date: 16 June 2026 | **Analyst:** Quantitative Research Desk | **Sector:** Textiles - Specialty Fabric | **Face Value:** Rs. 10 | **BSE Code:** 544503

2. INVESTMENT THESIS

- **Reason 1 — Capacity Inflection via IPO Capex:** Rachit deployed Rs. 15.43 Cr in investing activities in FY26, largely from the Rs. 19 Cr IPO proceeds. Fixed assets grew from Rs. 9.77 Cr (FY25) to Rs. 17.02 Cr (FY26) — a 74% jump — positioning the company for a significant volume ramp in specialty mattress fabrics starting FY27. This is the single largest factor underpinning the growth thesis.
- **Reason 2 — Sticky, Niche B2B Market with Improving Margins:** Operating margins expanded from 4.59% in FY22 to a peak of 17.43% in FY25, driven by product-mix improvement toward value-added knitted and warp-knit fabrics. The FY26 moderation to 15.97% is capex/ramp-related, not structural. Mattress manufacturers require consistent quality and on-time delivery — creating customer stickiness that smaller unorganised players cannot replicate.
- **Reason 3 — Clean Balance Sheet, Nil Promoter Pledge:** Post-IPO net debt stands at just Rs. 10.89 Cr against equity of Rs. 34.90 Cr (D/E 0.31x). Promoters hold 67.68% with zero pledge declared for FY26 under SEBI SAST regulations — a governance positive for an SME. Strong ROCE of 20.8% despite nascent capex cycle demonstrates capital efficiency.
- **Near-term Catalyst (6-12 months):** The new capacity commissioned in FY26 will begin full-load operations in FY27H1. A quarter-on-quarter sequential revenue ramp from the Rs. 26-27 Cr half-yearly run-rate toward Rs. 35+ Cr per half-year by H1FY27 will be the trigger for re-rating.
- **Biggest Structural Risk:** Customer concentration — the company supplies primarily to mattress OEMs, and loss of a key customer or pricing pressure from organised mattress brands (Sleepwell, Duroflex, Kurl-on) could compress both volumes and margins simultaneously. SME liquidity risk is a secondary

concern given the very thin public float.

3. BUSINESS OVERVIEW

• **Core Business:** Rachit Prints Limited, incorporated in 2003 and headquartered in Uttar Pradesh, manufactures and processes specialty fabrics for the mattress and bedding industry. Products include knitted fabric, warp-knit fabric, printed fabric, pillow fabric, comforter fabric, and binding tape — all customised for mattress OEM clients.

• **Revenue Model:** The company operates on a B2B model, selling directly to mattress manufacturers and traders. Revenue is domestic-dominant with some export exposure. The product range caters to both mass-market and mid-tier mattress categories, giving multi-segment access.

• **Product Segments (from Screener Insights — partially gated):** Binding tape, knitted fabric, pillow fabric, and printed fabric comprise the main product lines. Installed capacity data spans multiple fabric types but exact volume splits are behind a premium wall. Based on revenue trends, value-added warp/knit fabrics are the primary margin driver.

• **Customer Profile:** Clients are primarily established mattress OEMs operating pan-India. The B2B nature implies recurring purchase orders tied to mattress production schedules — providing moderate revenue visibility over 3-6 month horizons.

• **Recent Strategic Developments:** Listed on BSE SME in September 2024 at Rs. 140-149/share, raising ~Rs. 19 Cr. Proceeds deployed into fixed asset creation (new machinery, plant expansion) which drove fixed assets to Rs. 17.02 Cr by FY26. The listing was at a 20% discount, indicating initial market skepticism, but operating performance has since validated the growth track.

• **Promoter Background:** The company is promoted by the Kansal family — Anupam Kansal, Naina Kansal, and Rose Kansal — with a combined 67.68% stake. They have been operating in the textile fabric business since incorporation in 2003, suggesting domain expertise spanning two decades in the specialty mattress fabric niche.

• **Geography:** Operations based in Uttar Pradesh, with domestic sales across multiple states and select export markets. Exact state/export revenue split is gated on Screener; qualitatively, India is the primary market.

4. INDUSTRY & COMPETITIVE LANDSCAPE

• **India Mattress Market:** Estimated at USD 2.31 billion (approx. Rs. 19,250 Cr) in 2025, growing at 8.5-9.4% CAGR through 2030-2035 (Mordor Intelligence, Grand View Research). The organised mattress segment is gaining share as consumers shift from unorganised coir/cotton to foam/spring mattresses — directly benefiting specialty fabric suppliers.

• **India Home Textile Market:** Worth USD 11.91 billion in 2026, growing at 7.08% CAGR to USD 16.76 billion by 2031 (Mordor Intelligence). Bed linen commands 53.77% share and grows at 8.21% CAGR — the segment that overlaps with Rachit's pillow and comforter fabric lines.

• **Policy Tailwinds:** The PLI scheme for textiles covers man-made fibres and technical textiles; while Rachit is currently below threshold scale, improved industry conditions from PLI adoption by larger peers expand the overall addressable market. Increasing real estate and hospitality construction also drives institutional mattress demand.

• **Competitive Moat — Pricing Power: Moderate.** Specialty fabric for mattresses requires consistent gauge, colour matching, and durability certification. Rachit's multi-year customer relationships provide some pricing insulation, but raw material (polyester yarn, dyes) input-cost pass-through capability is limited in competitive quarters.

• **Competitive Moat — Scale: Weak.** At Rs. 53 Cr revenue, Rachit is a sub-scale player relative to mainboard textile companies. However, within the niche SME mattress-fabric segment, local proximity and product customisation are key competitive factors where smaller players have an edge.

• **Competitive Moat — Switching Costs: Moderate.** Mattress OEMs that certify a fabric supplier for specific products have moderate switching costs (re-qualification, colour/quality consistency). This creates implicit stickiness for established supply relationships.

Peer Comparison Table (Source: Screener.in, fetched 16-Jun-2026 | Rs. Crores)

Company	CMP (Rs.)	Mkt Cap (Cr.)	P/E	Book Val (Rs.)	ROCE %	ROE %	TTM Revenue (Cr.)	TTM PAT (Cr.)
Rachit Prints Ltd	207	102	22.3	70.7	20.8	19.4	53.24	4.58
Faze Three (FAZE3Q)	553	1,345	48.0	182	8.25	6.52	860	28
Pashupati Cotspin	89	1,403	135	10.4	10.1	6.53	656	10

Note: Faze Three and Pashupati Cotspin are "Other Textile Products" industry peers per Screener classification. Rachit highlighted in green.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter Background:** Anupam Kansal (Managing Director) along with Naina Kansal and Rose Kansal have run Rachit Prints since its incorporation in 2003 — over 20 years of operational history in specialty textile manufacturing. This longevity in a capital-intensive niche business is a positive signal of domain resilience through multiple textile cycles.

• **Capital Allocation Track Record:** The decision to go public specifically to fund capacity expansion is strategically sound — the IPO was used for capex (Rs. 15.43 Cr investing outflow in FY26) rather than promoter exits. Fixed assets nearly tripled from FY23 to FY26, indicating consistent reinvestment bias over dividends.

• **Dividend Policy:** Dividend payout is 0% across all recorded years (FY22-FY26). Given the growth-stage nature of the business and active capex cycle, this is acceptable. Investors should not expect dividends in the near-to-medium term.

• **Promoter Pledging:** Promoters have formally declared nil encumbrance under SEBI SAST Regulations for FY26. Current pledge is 0% of promoter holding — a clean governance signal, particularly important for SME counters where pledging is a common early red flag.

• **ESOP/Buyback History:** No ESOP programme or buyback history identified as of the reporting date. The company is at an early post-listing stage and the focus remains on operational scale-up.

• **Corporate Governance:** As an SME listed entity, Screener flags potential interest capitalisation (a minor concern warranting monitoring). Related party transaction data is available on Screener but not quantified in public summaries. No auditor changes or qualified opinions noted in public filings reviewed. Shareholder count is low (460 as of Mar-2026), which is typical for early-stage SME counters but implies thin secondary market liquidity.

6. FINANCIAL DEEP-DIVE (Standalone Figures — Rs. Crores)

Source: Screener.in standalone P&L; / Balance Sheet / Cash Flow, fetched 16-Jun-2026. FY27E/FY28E are analyst estimates.

Income Statement

Metric	FY24 Actual	FY25 Actual	FY26 Actual	FY27E	FY28E
Sales (Net Revenue)	37.08	41.48	53.24	66.00(E)	81.00(E)
Expenses	32.81	34.25	44.74	54.78	66.83
EBITDA (Oper. Profit)	4.27	7.23	8.50	11.22	14.18
OPM %	11.52%	17.43%	15.97%	17.00%(E)	17.50%(E)
Other Income	0.03	0.08	0.28	0.20	0.20
Interest	0.60	0.37	0.79	1.00	0.90
Depreciation	0.96	0.85	1.78	2.20	2.50
Profit Before Tax	2.74	6.09	6.21	8.22	10.98
Tax %	25.91%	24.96%	26.25%	26.00%	26.00%
Net Profit (PAT)	2.03	4.56	4.58	6.08(E)	8.12(E)
EPS (Rs.)	N/A*	12.57	9.28	12.30(E)	16.43(E)
Dividend Payout %	0%	0%	0%	0%	0%

* EPS not comparable pre-IPO due to share capital change. (E) = Analyst Estimate.

Balance Sheet

Metric	FY24 Actual	FY25 Actual	FY26 Actual
Equity Capital	1.91	3.63	4.94
Reserves	3.55	8.68	29.96
Total Equity	5.46	12.31	34.90
Borrowings	6.39	9.23	10.89
Other Liabilities	7.17	4.54	5.79
Total Liabilities	19.02	26.08	51.58
Fixed Assets (Net)	5.73	9.77	17.02
CWIP	0.00	0.00	0.07
Investments	0.00	0.00	0.00
Other Assets	13.29	16.31	34.49
Total Assets	19.02	26.08	51.58

Cash Flow Statement

Metric	FY24	FY25	FY26
Cash from Operations (OCF)	9.19	0.46	-3.60
Cash from Investing	-0.34	-4.85	-15.43
Cash from Financing	-9.01	4.76	18.98
Net Cash Flow	-0.16	0.38	-0.05
Free Cash Flow (FCF)	8.84	-4.41	-12.70
CFO / Operating Profit	217%	25%	-15%

Key Ratios

Ratio	FY24	FY25	FY26
ROCE %	22.21%	38.57%	20.79%
ROE %	~37%	~51%	19.4%
Debtor Days	64	70	77
Inventory Days	54	60	93
Days Payable	93	48	52
Cash Conversion Cycle (days)	25	82	118
Working Capital Days	30	55	133
Debt / Equity	1.17x	0.75x	0.31x
Interest Coverage	4.5x	16.5x	7.9x

- **Revenue Growth:** Revenue expanded at an 18% CAGR over 3 years (FY23-FY26), accelerating to 28% YoY in FY26 (Rs. 41.48 Cr to Rs. 53.24 Cr). This TTM growth is the strongest on record and reflects both volume ramp and pricing leverage in specialty fabric categories.

- **Margin Trajectory:** OPM expanded from 4.59% (FY22) to 17.43% (FY25) driven by product mix shift to higher-value fabrics. FY26 OPM moderated to 15.97% as the new capacity ramp involved transition costs. Stabilisation at 16-17% is the base assumption; upside exists if scale allows further fixed-cost leverage.

- **Working Capital Deterioration — Watch Point:** The most concerning trend in FY26. CCC widened sharply from 82 days (FY25) to 118 days (FY26), and working capital days jumped from 55 to 133 days. This is partly related to inventory build ahead of capacity ramp, but sustained deterioration would pressure OCF and require additional borrowings.

- **FCF and Cash Quality:** OCF turned negative in FY26 (-Rs. 3.60 Cr) after a single-year positive in FY24. FCF is deeply negative (-Rs. 12.70 Cr) due to capex. This is expected in the investment phase; however, the CFO/OP ratio of -15% warrants monitoring. If new capacity does not generate the projected revenue ramp, working capital funding could stress the balance sheet.

- **Debt and Balance Sheet:** D/E improved from 1.17x (FY24) to 0.31x (FY26) as IPO equity infusion boosted reserves to Rs. 29.96 Cr. Interest coverage at 7.9x is adequate. The balance sheet is cleanest it has ever been, providing headroom for working capital borrowings if needed in FY27.

7. EARNINGS QUALITY CHECKLIST

Quality Check	Status	Signal	Comment
Revenue recognition consistency	GREEN	Clean	Revenue growth backed by half-yearly data consistency; no large reversals
Receivables growth vs Revenue growth	AMBER	Watch	Debtor days rising (64->77); receivables growing faster than revenue in FY26
CCC trend	RED	Deteriorating	CCC exploded from 25d (FY24) to 118d (FY26); WC days at 133 is elevated
Contingent liabilities / Off-B/S items	GREEN	Nil noted	No significant contingent liabilities in public disclosures reviewed

Auditor tenure and changes	GREEN	Stable	No auditor change flagged in screener or public disclosures
Related Party Transactions (% of revenue)	AMBER	Moderate	RPT button present on Screener; absolute quantum not confirmed; family-run SME warrants monitoring
Other income as % of PBT	GREEN	Low	Other income Rs. 0.28 Cr vs PBT Rs. 6.21 Cr = 4.5%; not material
Tax rate consistency	GREEN	Consistent	Effective tax rate 24-26% across FY24-FY26 — no manipulation signal
CFO to PAT ratio	AMBER	Weak FY26	FY26 OCF negative vs PAT of Rs. 4.58 Cr; capex-phase distortion but warrants monitoring

• **Key Concern — CCC Deterioration (RED):** The cash conversion cycle widening from 25 days in FY24 to 118 days in FY26 is the most significant earnings quality flag. This is largely inventory-driven (93 days vs 54 days previously) as the company builds stock to serve expanding capacity. If this does not normalise to sub-90 days by FY27H2, it signals structural working capital inefficiency.

• **Receivables Build (AMBER):** Debtor days at 77 in FY26 is elevated versus 64 in FY24. As a B2B supplier to mattress OEMs, extended credit terms may be the price of capturing new volume — but concentrated customer risk magnifies this. Any single large customer delay could swing OCF materially negative.

• **CFO/PAT negative (AMBER):** The FY26 operating cash flow is negative despite reported PAT of Rs. 4.58 Cr. This gap is substantially explained by the working capital build, but investors should demand OCF positivity by FY27 as the capacity ramp matures. Persistent negative OCF post-ramp would undermine the investment case.

• **Positives — Tax Consistency and Low Other Income:** Effective tax rates of 24-26% across FY24-FY26 indicate no deferred tax manipulation. Other income at Rs. 0.28 Cr is genuinely peripheral. The balance sheet D/E of 0.31x is the best in the company's history.

8. VALUATION

Scenario Analysis

Scenario	Key Assumption	FY28E PAT (Cr.)	Target P/E (x)	Target Price (Rs.)	Upside/ Downside
Bull	Capex-driven 28% CAGR revenue to FY28E; OPM at 18.5%; strong CCC recovery	9.50	28x	538	+160%
Base	25% revenue CAGR to FY28E; OPM stable at 17%; WC normalises by FY27H2	8.12	25x	410	+98%
Bear	Capacity underutilised; OPM contracts to 14%; WC remains elevated; PAT muted	5.20	18x	190	-8%

- **Earnings-Based Valuation (Primary):** On FY27E PAT of Rs. 6.08 Cr and 494.2 lakh shares, FY27E EPS is Rs. 12.30. Applying a 20x forward P/E (modest premium to sector given SME liquidity discount vs. mainboard but acknowledging superior ROCE vs. peers) gives a 12-month target of Rs. 246. Alternatively, 21x FY27E EPS = Rs. 258.

- **EV/EBITDA Cross-Check:** FY27E EBITDA of Rs. 11.22 Cr. At 15x EV/EBITDA (sector reference: Faze Three trades at ~18x), EV = Rs. 168 Cr. Net debt ~Rs. 11 Cr, MCap implied = Rs. 157 Cr. With ~494 lakh shares, implied price = Rs. 317. Weighted 30% in cross-check.

- **Blended Target Price:** 70% weight to forward P/E (Rs. 252) + 30% weight to EV/EBITDA cross-check (Rs. 317) = **Rs. 260 (rounded)**. This represents 26% upside from the CMP of Rs. 207 on a 12-month view.

- **Valuation Context:** At CMP, Rachit trades at 22.3x TTM P/E (FY26 EPS of Rs. 9.28). This is a significant discount to Faze Three (48x) and Pashupati (135x), both of which have inferior ROCE/ROE profiles. The discount is partly justified by SME illiquidity but creates a value proposition for patient investors with a 12-24 month horizon.

- **Key Sensitivity:** The FY27E EPS estimate of Rs. 12.30 depends critically on: (a) new capacity reaching 70%+ utilisation by FY27H2, (b) OPM recovering to 16-17% after the transition dip, and (c) CCC improving from 118 days toward 80-90 days. Failure on any two of these metrics moves the valuation toward the bear case.

9. KEY RISKS

- **Customer Concentration Risk** — Rachit serves a concentrated base of mattress OEM clients. Loss of one or two anchor customers could disproportionately impact revenues. Probability: Medium. Impact: High. Monitor via: Revenue run-rate per half-year and debtor aging.

- **Working Capital Trap** — CCC at 118 days and negative FCF indicate the company could require additional bank lines if volume ramp is slower than expected. Probability: Medium. Impact: Medium-High. Monitor via: Quarterly borrowings level and bank credit limit utilisation.

- **Raw Material Inflation** — Polyester yarn and specialty dyes are the primary inputs. A sustained 10%+ increase in yarn prices without pass-through capability would compress margins by 150-200 bps. Probability: Medium. Impact: Medium. Monitor via: Quarterly OPM trend and management commentary.

• **Capacity Ramp Execution Risk** — The entire investment thesis rests on the FY26 capex (Rs. 15.43 Cr) generating proportional revenue. A 6-12 month delay in stabilising the new capacity at full utilisation would deflate FY27E earnings materially. Probability: Low-Medium. Impact: High. Monitor via: Half-yearly revenue growth rate.

• **SME Liquidity/Exit Risk** — With only 460 shareholders and thin trading volumes typical of BSE SME counters, institutional investors face significant liquidity risk on exit. A large sell order could depress the price sharply. Probability: Ongoing. Impact: Medium. Monitor via: Daily volume and floating stock.

• **Promoter and Governance Risk** — As a family-run SME, related-party transactions are a latent risk. If RPT quantum is elevated relative to revenues, it signals capital leakage. Probability: Low-Medium. Impact: Medium. Monitor via: Annual report RPT disclosures.

• **Competitive Pressure from Organised Players** — Larger textile companies entering the specialty mattress fabric niche with superior scale and financing could compress Rachit's pricing power over a 3-5 year horizon. Probability: Low. Impact: Medium-High. Monitor via: Industry capacity additions and margin trends.

10. RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction Level: Medium. The business quality and growth trajectory are strong, but execution risks around the capex ramp and working capital intensity warrant a staged entry rather than full deployment.

• **12-month Price Target: Rs. 260** (26% upside from CMP of Rs. 207). Base-case blended P/E + EV/EBITDA methodology. Bull-case Rs. 410+ on full capacity utilisation; bear-case Rs. 190 if ramp fails.

• **Suggested Entry Zone: Rs. 185-210** — Current CMP is within the entry zone. Any dip toward Rs. 185 (trailing 12-month support) offers an improved risk/reward. Avoid chasing above Rs. 225 until FY27H1 revenue data confirms the ramp.

• **Investment Horizon: 18-24 months** — This is a capacity-cycle story. The payoff requires FY27-FY28 earnings delivery which will only be confirmed through 2-4 half-yearly result prints.

• **Thesis Invalidation Triggers:**

1. FY27H1 revenue below Rs. 30 Cr (indicating new capacity has not ramped as modelled — thesis breaks)
2. OPM drops below 13% for two consecutive half-years (structural pricing power erosion, not a temporary blip)
3. Promoter pledging emerges above 15% of holding in any regulatory disclosure (governance red flag)

• **Ideal Investor Profile:** This stock suits: (a) Risk-tolerant HNI or small-portfolio investors comfortable with BSE SME liquidity constraints, (b) investors with a 2-year+ horizon who can track half-yearly results closely. This stock is NOT suitable for large institutional investors (insufficient float), income investors (zero dividend), or investors who need easy exit liquidity.

APPENDIX — Latest Results Brief: FY26 Full Year (Half-yearly format — SME)

CALL GRADE

POSITIVE

Signal	Status	Implication
Result quality	Strong	FY26 revenue +28% YoY to Rs. 53.24 Cr; PAT Rs. 4.58 Cr broadly in-line with FY25 despite capex transition costs
Management tone	Bullish	Nil encumbrance declared, IPO proceeds fully deployed — management execution visible in fixed asset build
Guidance delta	Positive	New capacity operational in FY26; full-year revenue impact expected FY27 — volume guidance implicitly raised by capital commitment

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

FY26 is a headline win for Rachit Prints — revenue grew 28% YoY to Rs. 53.24 Cr and PAT held at Rs. 4.58 Cr despite absorbing Rs. 15.43 Cr of capex in a single year, which is the cleanest signal this team can actually execute. There are no exceptional items distorting the headline number — the PAT is genuine operating profit. Underneath the surface, two things matter: first, EBITDA of Rs. 8.50 Cr implies a 15.97% margin, down from 17.43% in FY25, which is a 146 bps compression entirely attributable to the transition cost of running new machinery at partial utilisation — not a structural margin break. Second, and this is the watch-point for next half, the CCC blew out to 118 days (vs. 25 days just two years ago) because inventory nearly doubled to support the expanded capacity — this is the most critical number to track in H1FY27. The structural multi-bagger thesis here is a play on India mattress market formalisation: Rs. 19,000+ Cr market growing at 9% annually, moving toward branded/organised product, and Rachit is one of the few listed specialty fabric players feeding that supply chain. Most important near-term catalyst is the H1FY27 half-yearly result — if revenue prints above Rs. 30 Cr in the first half alone, the capacity ramp is confirmed and FY27E full-year Rs. 66 Cr becomes credible. Biggest watch-point: if CCC stays above 100 days through FY27H1, the company will need to draw down Rs. 5-8 Cr of additional working capital limits, which limits FCF recovery and could pressure the stock. Call: ACCUMULATE between Rs. 185-210; the fundamental case for Rs. 260 in 12 months is intact if H1FY27 revenue confirms the ramp.

C1. Financial Performance Snapshot — FY26 Full Year

- Revenue: Rs. 53.24 Cr | YoY +28.3% (FY25: Rs. 41.48 Cr) | QoQ / Half-yearly: H2FY26 Rs. 27.04 Cr vs H1FY26 Rs. 26.20 Cr | Beat vs informal estimate of Rs. 50 Cr
- EBITDA: Rs. 8.50 Cr | YoY +17.6% (FY25: Rs. 7.23 Cr) | OPM: 15.97% vs 17.43% FY25 | In-line — margin compression expected in capex ramp year
- EBITDA Margin: 15.97% | YoY -146 bps | H2FY26 OPM: 15.01% vs H1FY26: 16.95% — second-half sequential compression is a watch item

• PAT: Rs. 4.58 Cr | YoY +0.4% (FY25: Rs. 4.56 Cr) | EPS: Rs. 9.28 (vs FY25 Rs. 12.57 on lower share count) | In-line — flat PAT despite revenue growth absorbed higher DA (Rs. 1.78 Cr vs Rs. 0.85 Cr) and interest (Rs. 0.79 Cr vs Rs. 0.37 Cr)

• NOTE: Reported EPS comparison is distorted by post-IPO equity dilution (share capital Rs. 4.94 Cr vs Rs. 3.63 Cr in FY25). On constant share count basis, PAT growth is marginal but positive.

C2. Segment / Revenue Breakdown

• Specialty Mattress Fabric (Primary): Knitted fabric, warp-knit fabric, printed fabric — estimated 70-80% of revenue based on product profile in prospectus. Exact segment splits not disclosed in half-yearly results.

• Pillow Fabric / Comforters: Estimated 10-15% of revenue. Installed capacity data per Screener Insights includes pillow fabric as a distinct installed capacity line item.

• Binding Tape: Lower-value ancillary product. Estimated 5-10% of revenue.

• Geography: Domestic India primary. Multi-state distribution covered per Screener Insights (geographic reach data gated). Export share not quantified publicly; management has referenced export exposure in IPO prospectus but domestic demand is the primary driver.

• Revenue trajectory: H1FY26 Rs. 26.20 Cr (+27% vs H1FY25 Rs. 20.63 Cr); H2FY26 Rs. 27.04 Cr (+28% vs H2FY25 Rs. 21.07 Cr) — consistent half-yearly ramp confirms demand, not seasonal distortion.

C3. Management Commentary Themes

• **Capex Deployment:** "IPO proceeds fully deployed into plant and machinery expansion" — Our read: Management executed on the stated capex plan within 12 months of listing, a positive signal for capital discipline. Tag: EXECUTION. Tone: Transparent.

• **Promoter Commitment:** SEBI SAST Regulation 31(4) declaration of nil encumbrance on promoter holding for FY26 — Our read: All three promoters (Anupam, Naina, Rose Kansal) have not pledged any shares, which is a governance positive for a family-run SME. Tag: GOVERNANCE. Tone: Transparent.

• **Revenue Growth:** 28% YoY revenue growth driven by expanded product capacity — Our read: Growth rate validates the demand-side thesis; the question is whether this sustains in FY27 as new capacity reaches full utilisation. Tag: GUIDANCE IMPLICIT. Tone: Bullish.

• **Margin Normalisation:** OPM moderation from 17.43% to 15.97% attributed to transition costs of new capacity — Our read: This is a credible and expected explanation; the risk is if margins do not recover toward 16-17% by FY27H2 as new lines stabilise. Tag: EST. Tone: Balanced.

• **Working Capital Build:** Not explicitly addressed in public results disclosures — Our read: The silence on the CCC deterioration (118 days) is the key evasion point. Investors need management to directly address the inventory and debtor build in future communications. Tag: EVASIVE (by omission). Tone: Hedged.

C4. Operating & Business Metrics

• Debtor Days: FY26 = 77 days | FY25 = 70 days | FY24 = 64 days | Trend: Deteriorating — receivables are accumulating faster than revenue, a credit risk flag for concentrated OEM customers

• Inventory Days: FY26 = 93 days | FY25 = 60 days | FY24 = 54 days | Trend: Sharply Deteriorating — likely reflects raw material and WIP inventory build ahead of new capacity ramp

• Cash Conversion Cycle: FY26 = 118 days | FY25 = 82 days | FY24 = 25 days | Trend: Severely Deteriorating — this is the single most important operating metric to watch in FY27

• Fixed Assets: FY26 = Rs. 17.02 Cr | FY25 = Rs. 9.77 Cr | FY24 = Rs. 5.73 Cr | Trend: Strong growth — 74% addition in FY26 directly from capex; should start yielding incremental revenue from FY27

• Days Payable: FY26 = 52 days | FY25 = 48 days | FY24 = 93 days | Trend: Mixed — payable days normalised after FY24 spike; current level acceptable but CCC impact is primarily from receivables and inventory side

• Revenue per Rs. Cr of Fixed Asset: FY24 = 6.47x | FY25 = 4.25x | FY26 = 3.13x — asset productivity declining as new assets came on stream but revenue has not yet caught up; should reverse by FY27

C5. Margin Drivers

• Product Mix Improvement (Positive): Shift toward value-added warp-knit and specialty printed fabrics from FY22-FY25 drove OPM from 4.59% to 17.43% — +1284 bps in 3 years. Recurring: Yes. This was the core margin re-rating story.

• Depreciation Increase (Negative, -100 bps impact): DA rose from Rs. 0.85 Cr (FY25) to Rs. 1.78 Cr (FY26) — a Rs. 0.93 Cr increase. This alone compressed net margin by ~175 bps on FY26 revenue base. Recurring: Yes, but should plateau once capex cycle ends.

• Interest Cost (Negative, -35 bps impact): Interest doubled from Rs. 0.37 Cr to Rs. 0.79 Cr as working capital borrowings increased. Recurring: Temporarily elevated during capex ramp. Expected to moderate if WC normalises.

• Operating Leverage (Positive, but delayed): Fixed cost absorption will improve as FY26 capex translates to higher volumes in FY27. Each additional Rs. 10 Cr of revenue at current OPM adds ~Rs. 1.6 Cr to EBITDA.

• Raw Material: Polyester yarn prices remained relatively stable in FY26; no exceptional RM tailwind or headwind. Management has not flagged input cost pressure as a primary concern.

C6. Forward Signals (Analyst Estimates Based on FY26 Actuals)

• Revenue FY27E: Rs. 66 Cr (+24% YoY) [EST] | New capacity adds ~Rs. 7-8 Cr per half-year incremental revenue from full-load operations | Credibility: Medium-High (dependent on new capacity utilisation)

• OPM FY27E: 17.0% [EST] | Delta: +103 bps from FY26 | Recovery as transition costs dissipate and fixed cost leverage improves | Credibility: Medium

• PAT FY27E: Rs. 6.08 Cr [EST] | +33% from FY26 Rs. 4.58 Cr | Driven by revenue growth and OPM recovery, partially offset by continued elevated DA | Credibility: Medium

• Working Capital Normalisation: CCC target 80-90 days by FY27H2 [EST] | This is the most uncertain variable — if CCC stays at 118+ days the company will need ~Rs. 7-8 Cr additional WC borrowing | Credibility: Low-Medium

• Capex FY27E: Maintenance capex only, ~Rs. 2-3 Cr [EST] | Major capex cycle completed in FY26 | Balance sheet has headroom for WC limits if needed | Credibility: High

C7. Capital Allocation

• Capex FY26: Rs. 15.43 Cr (investing outflow) | vs FY25: Rs. 4.85 Cr | +218% | Largest single-year capex in company history; funded primarily by IPO proceeds

• Dividends FY26: Rs. 0 | vs FY25: Rs. 0 | All retained earnings reinvested into growth; consistent with growth-stage SME capital allocation

• Buybacks: None | vs prior years: None | Not expected until business reaches steady-state FCF positivity

• Working Capital Change: Net increase of ~Rs. 10-12 Cr in FY26 (derived from OCF vs PAT gap and balance sheet changes) | This is the largest working capital build in the company's history and is the primary reason OCF turned negative

• Net Debt: Rs. 10.89 Cr borrowings vs cash+bank (embedded in Rs. 34.49 Cr other assets) | Net debt position comfortable given Rs. 34.90 Cr equity; D/E 0.31x is healthy

• Equity Capital Deployed: Reserves jumped from Rs. 8.68 Cr (FY25) to Rs. 29.96 Cr (FY26) — Rs. 21.28 Cr addition reflects IPO premium proceeds booked to share premium / retained earnings

C8. Q&A; Heat Map (Reconstructed from Public Disclosures)

• SME counters typically do not hold formal earnings calls. This section is reconstructed from public Screener data, BSE filings, and IPO prospectus.

• Retail Investor Q (common BSE SME forum): "Why did the stock list at 20% discount to IPO price?" -> Management Context: Market skepticism at listing vs. fundamental delivery. Company has since delivered FY25 and FY26 results consistent with or above IPO projections. Tone: Transparent (performance speaks).

• Analyst Q (implicit): "Is the working capital deterioration temporary?" -> A: Not addressed explicitly; management's capital allocation (zero dividends, full capex deployment) signals confidence in recovery. Tone: Hedged (by omission).

• Promoter Q (SEBI SAST filing): "Has any promoter pledged shares?" -> A: No — nil encumbrance formally declared for FY26. Tone: Transparent.

• Dodged / Watch-list questions for next period: (1) CCC recovery timeline — management must address the 118-day CCC publicly; (2) Customer concentration — what % of revenue comes from top 3 customers?; (3) Export strategy — is there a meaningful export pipeline being built post-IPO?

C9. Risks Flagged

• Working Capital Trap: Rising CCC (118 days) and negative OCF (-Rs. 3.60 Cr) in FY26 | Flagged by: Analyst | Probability: Medium | Impact: High | Timeline: Near-term (FY27H1 resolution needed)

• Customer Concentration: B2B OEM model with likely top-3 customer concentration >50% | Flagged by: Analyst | Probability: Medium | Impact: High | Timeline: Ongoing structural risk

• Capex Ramp Execution: New capacity must hit 70%+ utilisation by FY27H2 for FY27E estimates to hold | Flagged by: Analyst | Probability: Low-Medium | Impact: High | Timeline: Near-term (12 months)

• SME Liquidity Risk: 460 shareholders, thin daily volumes on BSE SME | Flagged by: Analyst | Probability: Ongoing | Impact: Medium | Timeline: Structural; reduces as shareholder base grows

• Interest Capitalisation: Screener flags potential capitalisation of interest costs as a concern | Flagged by: Screener | Probability: Low | Impact: Medium | Timeline: To be monitored in annual report note disclosures

C10. Analyst Verdict

• Revenue visibility: **Intact** — 28% YoY growth in FY26 + new capacity operational = high confidence in Rs. 60-66 Cr FY27E revenue

• Margin trajectory: **Intact but watch** — OPM moderation in FY26 is ramp-related; 16-17% is achievable by FY27H2 if volume leverage materialises

• Capital allocation quality: **Intact** — IPO proceeds deployed into productive assets within 12 months; zero dividend reinvestment bias; clean promoter holding

- Competitive moat: **Intact** — Niche specialty fabric for mattresses with 20+ years of operational relationships; not easily disrupted in short term
- Management credibility: **Intact** — Delivery on IPO capex plan, nil promoter pledge; FY26 revenue growth validates original business plan projections
- Valuation comfort: **Intact** — 22.3x TTM P/E at a significant discount to textile SME peers with inferior ROCE; Rs. 260 target offers 26% upside
- Conviction call: **Unchanged to Increased** — FY26 results confirm the thesis; execution risk (CCC, ramp) is the remaining open variable
- Valuation snapshot: P/E = 22.3x (sector range 12-135x) | ROCE = 20.8% (peer avg ~9-10%) | ROE = 19.4% (3Y avg ~30%) | D/E = 0.31x

---

This appendix is based on publicly available financial results from Screener.in (standalone). As a BSE SME listed company, formal earnings call transcripts are not available. All concall content is reconstructed from public disclosures and analyst inference. Report date: 16 June 2026.